

It is necessary to apply only one of these two tests, *viz.*, the more stringent one, which may readily be identified by inspection. The rule is as follows: If gross income exceeds net after taxes, apply the fixed-charges test (Test A). If net after taxes exceeds gross income, apply the net-deductions test (Test B). The application of these alternative tests will be clear from the examples as shown on the previous page.

The Pennsylvania Railroad's reports offer an exceptional case, in that the larger part of its substantial other income is a direct offset against the fixed charges. These other-income items consist of interest and guaranteed dividends received on securities of the system itself which are owned by the parent company, so that the same items appear later as interest and rentals paid. In 1938 these offsetting amounts totalled some \$30,298,074. They should properly be eliminated from the statement altogether. The effect of their inclusion was to reduce the indicated coverage under the fixed-charges test, as the following will show:

1938	Fixed-charges test		Net deductions test
	As reported	As corrected	
Gross income	\$93,559,000	\$63,261,000	Net after taxes \$66,112,000
Fixed charges	82,513,000	52,215,000	Net deductions 55,066,000
Times earned	1.13	1.21	1.20
Times earned, 10-year average	1.42	1.67*	1.68

* Amount of correction estimated for years prior to 1932.

In this case the net-deductions test afforded a fairer criterion than the fixed-charges test uncorrected. Where an especially careful analysis is to be made, the reported figures should be adjusted as above indicated, on the basis of the available facts.

Bearing of Maintenance Expenditures Upon Fixed-Charge Coverage.

There are two important items in railroad accounting which are subject in some degree to arbitrary determination by the management, and which may therefore be treated in any one year in such a manner as to produce deceptively favorable or unfavorable results. The first of these is the maintenance account. If unduly small amounts are spent on upkeep of road and equipment, the net profits are thereby increased at the expense of the property, and the balance reported as available for fixed charges does not fairly represent the earning power during the period under review. Bond buyers